3. Income Taxes

Provisions for Income Taxes

	2012	2011	2010
		($ in millions)	
Current:			
Federal	$ 569	$ 432	$ 492
State	74	43	67
Total current taxes	643	475	559
Deferred:			
Federal	339	506	281
State	27	21	31
Total deferred taxes	366	527	312
Provision for income taxes	$ 1,009	$ 1,002	$ 871

Reconciliation of Statutory Rate to Effective Rate

The "Provision for income taxes" in the Consolidated Statements of Income differs from the amounts computed by applying the statutory federal corporate tax rate as follows:

	2012		2011		2010	
	Amount	%	Amount	%	Amount	%
			($ in millions)			
Federal income tax at statutory rate	$ 965	35	$ 1,021	35	$ 828	35
State income taxes, net of federal tax effect	69	3	69	2	62	3
Deferred tax estimate	-	-	-	-	(34)	(1)
Medicare Part D	-	-	-	-	27	1
State tax law changes, net of federal tax effect	(3)	-	(28)	(1)	-	-
Internal Revenue Service audit, settlement	(6)	-	(40)	(1)	-	-
Other, net	(16)	(1)	(20)	(1)	(12)	(1)
Provision for income taxes	$ 1,009	37	$ 1,002	34	$ 871	37

During 2010, we performed a review and re-evaluation of our estimates for deferred tax assets and liabilities, resulting in a reduction of income tax expense of $34 million. In addition, provisions of the health care legislation enacted during 2010 eliminate, after 2012, the tax deduction available for reimbursed prescription drug expenses under the Medicare Part D retiree drug subsidy program. As required by the Financial Accounting Standards Board (FASB) Accounting Standards Codification (ASC) 740, *"Income Taxes,"* we recorded a $27 million charge to deferred tax expense in 2010.

Deferred Tax Assets and Liabilities

Certain items are reported in different periods for financial reporting and income tax purposes. Deferred tax assets and liabilities are recorded in recognition of these differences. The tax effects of temporary differences that give rise to significant portions of the deferred tax assets and deferred tax liabilities are as follows:

	December 31, 2012	2011
	($ in millions)	
Deferred tax assets:		
Compensation and benefits, including postretirement	$ 834	$ 771
Accruals, including casualty and other claims	139	145
Other	41	41
Total gross deferred tax assets	1,014	957
Less valuation allowance	(19)	(19)
Net deferred tax asset	995	938
Deferred tax liabilities:		
Property	(8,188)	(7,894)
Other	(472)	(387)
Total gross deferred tax liabilities	(8,660)	(8,281)
Net deferred tax liability	(7,665)	(7,343)
Net current deferred tax asset	167	143
Net long-term deferred tax liability	$ (7,832)	$ (7,486)

Except for amounts for which a valuation allowance has been provided, we believe that it is more likely than not that the results of future operations will generate sufficient taxable income to realize the deferred tax assets. The valuation allowance at the end of each year primarily relates to subsidiary state income tax net operating losses that may not be utilized prior to their expiration. The total valuation allowance remained unchanged in 2012 and decreased $2 million in 2011.

Uncertain Tax Positions

A reconciliation of the beginning and ending amount of unrecognized tax benefits is as follows:

	December 31, 2012	2011
	($ in millions)	
Balance at beginning of year	$ 105	$ 152
Additions based on tax positions related to the current year	6	40
Additions for tax positions of prior years	-	26
Reductions for tax positions of prior years	(20)	(78)
Settlements with taxing authorities	(23)	(22)
Lapse of statutes of limitations	(5)	(13)
Balance at end of year	$ 63	$ 105

Included in the balance of unrecognized tax benefits at December 31, 2012, are potential benefits of $20 million that would affect the effective tax rate if recognized. Unrecognized tax benefits are adjusted in the period in which new information about a tax position becomes available or the final outcome differs from the amount recorded.

Internal Revenue Service (IRS) examinations have been completed for all years prior to 2011. We expect the IRS to begin auditing our 2011 and 2012 consolidated income tax returns in late 2013. State income tax returns generally are subject to examination for a period of three to four years after filing of the return. In addition, we are generally obligated to report changes in taxable income arising from federal income tax examinations to the states within a period of up to two years from the date the federal examination is final. We have various state income tax returns either under examination, administrative appeals, or litigation. We expect that the total amount of unrecognized tax benefits at December 31, 2012, will decrease by approximately $12 million in 2013 due to tax positions for which there was an uncertainty about the timing of deductibility in earlier years, but deductibility may become certain by the close of 2013. We do not expect that the aforementioned potential change in unrecognized tax benefits will have a material effect on our financial position, results of operations, or liquidity.

Interest related to unrecognized tax benefits, which is included in “Other income – net,” totaled $1 million of income in 2012, $10 million of income in 2011, and $1 million of expense in 2010. There were no penalties related to tax matters in 2012, 2011, and 2010. We have recorded a liability of $3 million at December 31, 2012, and $4 million at December 31, 2011, for the payment of interest on unrecognized tax benefits. We have no liability recorded at December 31, 2012 and 2011, for the payment of penalties on unrecognized tax benefits.